Skeena Resources

Updated Resource provides clearer pathway to production & potential to increase planned output

Skeena Resources (SKE) announced an updated Mineral Resource Estimate for the Eskay Creek gold-silver project located in the Golden Triangle of British Columbia. Measured and Indicated Resources total 5.27Moz at 4.3 g/t AuEq following two successful phases of infill drilling, more than doubling the 2019 Indicated Resource of 2.56Moz AuEq. SKE will conduct geotechnical drilling and metallurgical sampling in Q2 2021 as well as further exploration and expects to advance Eskay Creek to full Feasibility by the end of 2021. Notably, predictable intersection of modelled historical workings through company drilling has improved spatial confidence and delivered an additional 731kt averaging 25.4 g/t AuEq (597koz AuEq).

Sucessful infill drilling programs upgrade resource categories and add tonnage

Phase 1 and 2 infill drilling programs have allowed the company to recategorise pit constrained resource – ounces in the Inferred category have dropped from 1.42Moz AuEq to 241koz – as well as add additional resources in several zones. The result is an exceptional 186% increase on a tonnage weighted basis in Measured and Indicated resources. With over 40% of the current pit constrained resources as Measured, a substantial percentage will ultimately convert to Proven Reserves upon completion of a successful Feasibility Study. Additionally, the Northern Extension Zone (NEX) has been incorporated into the pit constrained resource base to add largely measured and indicated material, giving a pathway to additional reserves. The Phase 2 infill program focused on resource category conversions for the PFS and continued to return exceptional grades, with 12.51 g/t AuEq intersected over 19.15 m in 21C Zone and 13.86 g/t AuEq over 25.27 m in HW Zone, expanding the depth and improving the tenor and width of historical drill holes. SKE has completed ~105 km of drilling (751 holes) between 2018-2021, adding to the historical ~651 km.

First Nations investment a key step towards permitting

The C$5m investment rights agreement with the Tahltan Central Government announced on 31 March 2021 is a significant milestone towards becoming equity partners, aligning the company's interests with one of its key stakeholders. The Tahltan Territory covers British Columbia's Golden Triangle and strong relations are crucial in paving the way for development of natural resource projects. We believe advancement of the permitting process could be a key driver of performance for SKE shares in 2021, alongside the completion of the PFS expected around mid-year commencement of a DFS by year end. As a brownfield site, Eskay Creek should hold a key advantage in permitting in our view as permissions already exist for mine discharge and waste disposal. Aditionally, Skeena has already completed several environmental studies and monitoring has been maintained since the initial closure in 2008.

C$5.32/sh target with Resource upgrade still to be incorporated

The significant increase in M&I Resource announced yesterday offers the potential, in our view, to further upscale the design of the plant within the upcoming DFS, as compared with the 2.5Mtpa throughput conceptualised in the 2019 PEA. Our current target price of C$5.32/sh is based on the PEA mine plan, which was in turn derived from the 2019 MRE. We expect to revise this target upwards upon inclusion of the new Resource Estimate. As we have previously outlined, if we – conservatively - assume incremental ounces are added to the end of the mine life, we (provisionally) estimate that an uplift in M&I Resource to 5Moz could boost our SOTP by C$1.45/sh to C$6.77/sh, +86% from the current share price.

Acceleration of exploration program prior to DFS could add yet further ounces

Following the successful completion of infill drilling programs the company has initiated a property scale exploration program, designed to define additional mineralisation. Dr. Harold Gibson, a leading VMS system expert, has been drafted to assist the program and rank targets. This will allow the company to add additional near surface bulk mineralisation to the current resource base and supplement the mine plan prior to full Feasibility by the end of 2021. This bodes well, in our view, for the eventual reported economics of the project on completion of the DFS.

GICS Sector	Materials
Ticker	TSX : SKE
Market cap (C$m, 7 Apr 21)	790
Share price (C$, 7 Apr 21)	3.64
Target price (C$, 31 Dec 21)	5.32

46%

Upside from current share price to C$5.32/sh target price

5.3Moz @4.3g/t

Revised Eskay Creek M&I Resource estimate, >2x prior Indicated Resource

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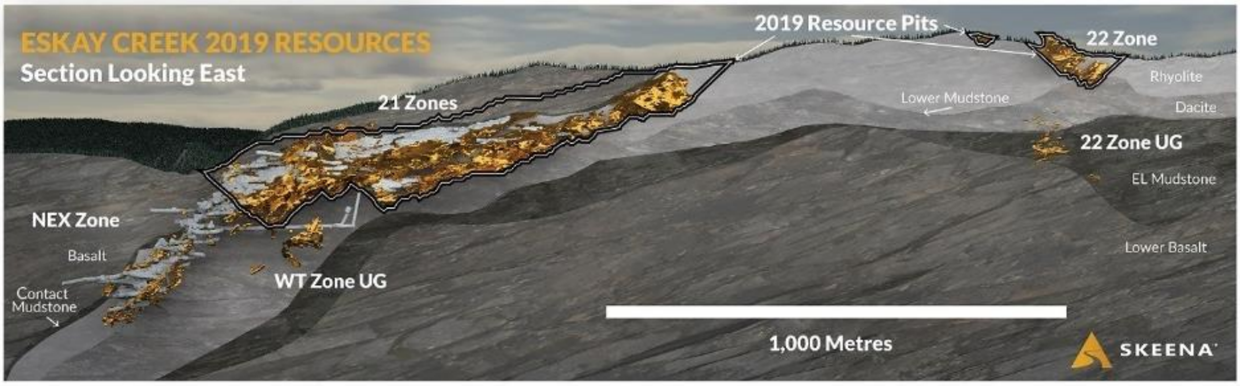
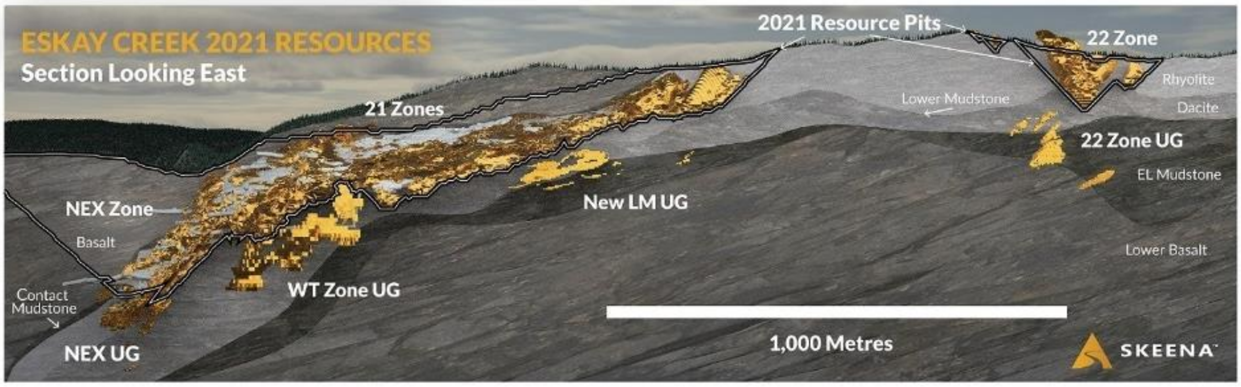
Eskay Creek updated pit design following successful MRE





Skeena - summary of Resource base update			Grade (g/t)			Contained metal (koz)		
Project	**Category**	**Ore (kt)**	**Au**	**Ag**	**AuEq**	**Au**	**Ag**	**AuEq**
Eskay Creek - OP	Measured	17,312	4.2	118.4	5.8	2,322	65,908	3,213
	Indicated	20,342	2.2	52.5	2.9	1,439	34,362	1,903
	Inferred	5,239	1.0	25.0	1.4	174	4,203	174
Eskay Creek - UG	Measured	345	5.2	67.3	6.1	58	747	68
	Indicated	506	4.9	35.8	5.3	79	583	87
	Inferred	429	4.1	57.0	4.9	57	787	67
Snip	Indicated	539	14.00	0.00	14.00	244	0	244
	Inferred	942	13.30	0.00	13.30	402	0	402
	Measured	**17,657**	**4.22**	**117.4**	**5.81**	**2,380**	**66,655**	**3,281**
Total/average	**Indicated**	**21,387**	**2.27**	**52.09**	**2.96**	**1,762**	**34,945**	**2,234**
	Inferred	**6,610**	**2.95**	**27.42**	**3.32**	**633**	**4,990**	**643**

Source: Skeena Resources

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